

Notes on Raym Crow. (2009). Income Models for Open Access: An Overview of Current Practice. SPARC.

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Some choice excerpts and comments on Raym Crow. (2009). Income Models for Open Access: An Overview of Current Practice. SPARC. https://sparcopen.org/wp-content/uploads/2016/01/incomemodels_v1.pdf. I am thinking about this in relation to the list of business models for OA books that we are building, even though it was written for journals over a decade ago.

“Where subscription agents and aggregators serve a journal’s well-established subscription base, maintaining the current subscription model often requires little active effort on the part of a publisher. In such cases, a change of business model might require a small publisher to deploy resources that it does not possess or to incur risks it is unable to assess fully.” I can confirm this.

I think RC disagrees with Sam Moore’s recent stuff on economies of scale. “While there are some economies of scale in journal publishing, larger organizations tend to bear greater overhead costs than smaller organizations”. It’s not actually specified what those are, though. There will certainly be some additional management overheads, but it’s not clear why these don’t scale linearly.

Crow uses [the business model canvas system about which I recently wrote](#).

“The business model for an open-access journal addresses a three-sided market in which readers pay with their attention, funders [...] pay for access to the target audience’s attention, and authors pay (with their content and, sometimes, with article fees) for the audience reach, research impact, and professional prestige that the journal delivers”. Although aimed at journals, the same applies for books, with perhaps different scalings applied to different elements (for instance: the professional prestige payoff may be an even stronger desire when one has worked on a book MS for several years).

Crow’s typology presents a breakdown into:

1. demand-side models, funded primarily by consumers of the content or by proxies that pay on their behalf; or
2. supply-side models, funded primarily by producers of the content or by proxies that pay on their behalf.

He notes that ‘In many cases, supply- and demand-side income models can be combined to maximize the income sources available to support a journal.’

“Demand-side open-access models are susceptible to free ridership—where beneficiaries of an open-access journal do not shoulder a share of the cost of providing it—and demand-side models need to be designed and implemented to overcome this tendency (see below).” This is, I think, where Crow’s later work on *Subscribe to Open* comes in.

“A supply-side model that relies exclusively on subsidies risks insulating the journal from constructive market forces. Such insulation could result in a journal producing content of a type or quantity out of line with reader demand”. Hmm, not sure about this. I thought one of the purposes of academic freedom was to shelter academics from having to produce for the market, but this type of logic reinstates an intermediated market pressure on academics.

#Supply-Side Models

- Article Processing Charges/Fees. Mega problems in this model and in translating it to books, in particular, as I have reiterated countless times.

- Advertising. “Advertising provides a viable income model where an online journal either draws a substantial volume of visitors, allowing the advertiser to reach a large audience, or where the journal’s audience is highly specialized, providing an efficient marketing channel for an advertiser targeting that particular audience”. Hmm, again, there are problems with this model – particularly in terms of ensuring that there is no conflict of interest. “Many print journals have sold advertising for years” is an accurate point, though. In the book space, I think that academics might have substantial objections to embedded advertising *in the book itself*. This model also requires marketing to advertisers – they won’t just flock to you. I would anticipate, also, that there are tracking concerns here with respect to patron/user privacy.
- Sponsorships. This is a bit like advertising, except more targeted and gathering higher revenue from a single source. A Learned Society, for instance, could sponsor a book series.
- Internal Subsidies. This could work with a Learned Society where the publishing arm is part of the Society itself.
- Cross Subsidies. Income from one division going to another. For instance, there is already some cross-subsidy at certain publishers between journal publication and monographs.
- External Subsidies. Foundation grants and corporate funding are all very well, but they are not “sustainable”. I.e. we are not going to end up at a situation where philanthropic donations are able to cover all the costs of publishing research, in book or journal form.
- Institutional Grants & Subsidies. “If a journal’s publisher, or a key sponsor, is affiliated with an academic or research institution, formal and informal subsidies from the institution can defray operating expenses.” Also: “While an institution might provide a cash subsidy, such support will often take the form of non-cash in-kind contributions.” This is the model that UCL Press and others use, in which the Press is, at least in part, a *cost* rather than *revenue* centre.
- Government Funding. See Eve, Martin Paul, Kitty Inglis, David Prosser, Lara Speicher, and Graham Stone, ‘Cost Estimates of an Open Access Mandate for Monographs in the UK’s Third Research Excellence Framework’, *Insights*, 30.3 (2017), 89–102
<https://doi.org/10.1629/uksg.392>.
- Donations & Fundraising. Potentially good, but costly to run if one needs dedicated fundraisers.

- Endowments. Wow, yes, I wish someone would setup an endowment fund large enough to run an open-access books programme at scale. That would be brilliant. But I don't see any major donors coming forward to do so.
- In-kind Support. We get some of this at OLH, with Birkbeck, University of London providing HR etc. which can be helpful. It reduces our cost model but doesn't replace the need for actual money with which to pay people.
- Partnerships. ScholarLed and the White Rose Press sprang to my mind as examples of this type of collaborative effort.

#Demand-Side Models

“All demand-side income models intended to support open-access distribution confront a free-rider obstacle. Stated simply: If libraries contribute to provide a collective good, such as an open-access publication, some may fail to contribute, taking advantage of those that do provide financial support. If enough libraries follow the logic of trying to gain benefits without contributing to the costs, then the collective model will fail”. Interestingly, this has not borne out in our experience. Knowledge Unlatched also continues to be successful.

- Versioning. “Producing various versions of digital information services, each with its own target market segments, perceived value, and willingness to purchase, is a well established method of maximizing the revenue generated by any given content asset”. In the book space, the clear thing is: print.
- Use-Triggered Fees. “A use-triggered fee model supports open-access publication by imposing usage fees on a voluntary basis. Under the model, individual users, and users from less-developed countries, would have access to an online publication without charge”. A difficult one as it requires you to track users to ascertain that they are from an institution – usually requiring login, thereby negating much of the OA benefit.
- Convenience-Format License. “Although an open-access journal's content might be governed by a Creative Commons non-commercial license, the publisher might make the content available for commercial distribution under a separate license”. This model seems to have been ruled out by various funder mandates that disallow non-commercial licenses.

- Value-Added Fee-Based Services. Freemium services, basically. These are estimated at a 5% takeup rate or similar, I believe.
- Contextual E-Commerce. Bought the book? Buy the t-shirt. Unsure about this.

Lots has changed since 2009, but this was an interesting read and will be part of our business model report for COPIM.

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